

Course: Law and Ethics in Engineering Practice

Lecture 03: Law of Contract

(Short Note on Class Lecture for the Students)

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[Special Note: This is a short note for the students of CSE of Dhaka International University for the course 'Law and Ethics in Engineering Practice'. This short note does not include all the matters of contract law since it is a GED course for the CSE students not for the Law students. That is why only the basic things of contract law have been provided in this note.]

Formation of Contract

1. Meaning, Nature and Scope of Contract
2. Classification of Contracts
3. Capacity to Enter into a Contract
4. Nature or effect of minor's Contract

Validity, Discharge and Performance of Contract

1. Free Consent, Coercion, Undue Influence, Misrepresentation, Fraud, Mistake
2. Unlawful Consideration and Object
3. Discharge of Contracts

Breach and Remedies

1. What constitutes Breach
2. Remedies

(Necessary Books for reading: 'Law of Contract' by Dr Muhammad Ekramul Haq and 'Mercantile Law' by M C Kuchhal)

Meaning, Nature and Scope of Contract

Bangladeshi contract law is governed by the Contract Act, 1872. The Act was enacted by British India and is grounded in English Common Law doctrines. This Act covers the entirety of Bangladesh. The Act is applicable to all contracts in Bangladesh and took effect on September 1st, 1872.

Making a proposal is the act of one person indicating to another that he is willing to do something or refrain from doing something in order to get the other person's consent to that act or non-action. A proposal is deemed accepted when the recipient expresses his or her agreement with it. Once accepted, a proposal turns into a promise. All agreements consist of promises and their respective sets that constitute the basis for one another. A contract is an agreement that is legally enforceable.

Essential Elements of a Valid Contract

Sections 10, 11 of the Contract Act, 1872 provide the essential elements of a valid contract:

- a) *Agreement*: There should be at least 2 parties for a contract. There shall be an offer or proposal by one party. Offer made should be accepted by the other party. The agreement shall be supported by lawful consideration. The object and consideration of the contract shall be legal.
- b) *Free Consent*: There shall be free consent between the parties to the contract b) Consent is said to be free when the following elements are absent: Coercion, Undue influence, Fraud, Misrepresentation, Mistake. (Sections 15- 22 of the Contract Act, 1872)
- c) *Competency of the parties*: For a person to become competent to contract – Such person should be major (18+), Such person should be of sound mind (Section 12), Such person should not be disqualified by law.
- d) *Lawful Consideration*: The agreement shall be supported by lawful consideration.
- e) *Legal object*: The object and consideration of the contract shall be legal.
- f) Not expressly declared to be void by the law.

Classification of Contract

An agreement can be –

- *Social obligation*: An agreement giving rise to social obligation is not a contract. The Contract Act of 1872, or CA, 1872, does not apply to this kind of contract. A social agreement such as two people agreeing to go to the movies together, take a walk, or have dinner together is not protected under the Contract Act of 1872.
- *Legal obligation*: Under CA, 1872, a contract is defined as an agreement that results in a legal obligation.

On the basis of enforceability and validity, contracts can be divided into the following categories:

1. *Valid Contract*: A contract is an agreement that is legally enforceable, therefore this is a valid contract. Put another way, an agreement that satisfies all legal requirements for a valid contract is said to be valid.

2. *Voidable Contract*: Voidable contract has been defined by section 2 (1) as-
 “An agreement which is enforceable by law at the option of one or more of the parties thereto, but not at the option of the other others”

It would seem that a voidable contract is only a temporary condition. There are numerous reasons why a contract could be declared void by the law. The parties on one side must choose to make it legally enforceable or to have it set aside; the parties on the other side do not get to choose. The parties to one side of the contract, not the other, are granted the authority by law to validate it. In each specific instance, the law evaluates the voidable contract's character to establish who has the right to make it enforceable.

3. *Void Contract*: Section 2(j) says that-
 “A contract which ceases to be enforceable by law becomes void when it ceases to be enforceable”

Therefore, the existence of a legal contract is a prerequisite for the creation of a void contract, which will thereafter become void when its enforceability ends. Put differently, a legally enforceable contract becomes void when its enforceability is affected. Enforcement may be discontinued for a variety of reasons, such as supervening illegality or inability.

Void agreement: It has been clearly defined by section 2(g) that an agreement not enforceable by law is said to be void. Thus, an agreement, in fact, will either be enforceable by law or not. If it becomes enforceable by law it will be a valid contract. But if the agreement fails to be enforceable by law, then it will remain as an agreement and the legal status of that agreement will be void. There are obviously certain criteria by law for the enforceability. Those criteria will be discussed later in this chapter. Some examples of void agreement:

- I. *Agreement in Restraint of Marriage*: Any agreement that limits the marriage of a major (grown-up) is a void agreement.
- II. *Agreement in Restraint of Trade*: An explicitly void agreement is one that restricts someone from engaging in any kind of business, exercising lawful callings, or practicing a trade. An individual's established privileges are harmed by such an agreement.

- III. *Agreement in Restraint of Legal Proceedings:* An express void agreement is one that prevents one party from exercising his legal rights under the agreement through the legal process (court proceedings, mediation, etc.).
- IV. *Wagering Agreement:* An agreement to bet is void, as the Indian Contract Act makes clear. The idea behind a bet is that the deal depends on the occurrence—or non-occurrence—of an uncertain event.

Illegal agreement: The Act does not clarify what constitutes an illegal agreement. However, it is possible to deduce what constitutes an illegal agreement from the applicable legislation. It refers to an unlawful pact. Because even though something cannot be a contract, it may nevertheless be an illegal arrangement. It is important to note that while all agreements that are invalid are void because of their illegality, not all void agreements are necessarily illegal. Nevertheless, an agreement could be null and void for grounds other than illegality. Assume that a contract promising to write 100 standard pages in five minutes in one's own handwriting is null and void even though it is not against the law. However, an agreement will undoubtedly be null and void if it somehow turns into an illegal agreement.

Nature or effect of minor's Contract

While Section 11 declares that the juvenile is incapable of entering into a contract, Section 10 requires that the agreement be between individuals who are competent to contract. However, neither part addresses the implications of a minor entering into an agreement. The court determined that Minor's agreement was null and void from the beginning in *Mohori Bibee v. Dharmodas Ghose*.

Discharge of Contract

Discharge of a contract denotes the end of the parties' contractual agreement. Discharge of contract, to put it simply, signifies the end of the agreement. Modes of discharge of contract:

1. *Discharge by performance* – When the parties to a contract fulfill the obligations arising under the contract within the time and manner prescribed, then the contract is discharged by performance.
2. *Discharge of a Contract by Lapse of Time* – The 1908 Limitation Act establishes a deadline for contract performance. The promisee cannot pursue legal recourse if the

promisor breaches the agreement and they don't act within the allotted time frame. The contract is discharged because of the time lapse.

3. *A contract may be discharged by operation of law in the following cases* – 1) Death – a) If contract involves personal skill then contract is discharged b) If contract does not involve personal skill then the rights and liabilities of the deceased person will pass on to his legal representatives. 2) Insolvency – The insolvency of the promisor discharges the contract etc.
4. *Discharge by breach of contract* – A party is in breach of a contract when he or she fails to fulfill their commitments of the contract. A contract's obligations come to an end when it is breached.
5. *Discharge by impossibility of performance* – When performance is impossible, the contract is discharged. Since the law does not compel people to do things that are impossible, any agreement that is impossible is void.

Breach of Contract and Remedies for breach of contract

A breach of contract occurs when one or more parties violate an agreement or promise. Therefore, a breach of contract occurs when one party fails to uphold their half of the agreement or fails to perform their obligation in accordance with the terms of the agreement. The following are the available remedies for contract breaches:

- A) *Recession of Contract*: A party may rescind a contract and refuse to have one of the parties to it meet their commitments if the other party fails to uphold their side of the contract.
- B) *Sue for Damages*: According to Section 73, the person who has suffered because the other party violated agreements is entitled to compensation for any losses or damages incurred in the regular course of business.
- C) *Sue for Specific Performance*: This implies that the person that violates the contract will actually be required to perform his obligations under it. The parties may be required by the courts to abide by the agreement under specific circumstances.
- D) *Injunction*: An injunction is essentially a decision for particular performance applied to a contract that is negative. An injunction is a legal order that prevents someone from carrying out a specific action. So, a court may grant an injunction to stop a party of a contract from doing something he promised not to do.